

George Butler owned a tugboat and was tired of his current job. He decided to open a business that provides day tugboat tours to tourists along the Mississippi River near his hometown. Prepare journal entries to record the following transactions.

- May 1 Butler invested \$20,000 cash and his tugboat valued at \$90,000 in the business.
- May 2 Butler paid \$3,000 cash for office equipment to help him keep track of business activities.
- May 3 Butler bought boating supplies costing \$2,500 on credit.
- May 4 Butler paid the river master \$500 cash for the first month's dock rental.
- May 5 Butler paid \$1,800 cash for a six-month insurance policy.
- May 10 Butler received \$2,000 cash from clients for his first tour.
- May 12 Butler provided a \$3,500 tour on credit, the customer has agreed to pay within 10 days
- May 19 Butler paid for the boating supplies originally purchased on May 3.
- May 22 Butler receives payment on the account from the client entry on May 12.
- May 25 Butler received \$2,750 cash for additional tours that he completed that day.
- May 31 Butler paid his crew member a salary of \$1,000.
- May 31 Butler withdrew \$2,000 for personal use.

Answer: May 1

Cash.....	20,000	
Tugboat.....	90,000	
G. Butler, Capital.....		110,000
<i>Owner invested in business.</i>		

2 Office Equipment.....	3,000	
Cash.....		3,000
<i>Purchased office equipment.</i>		

3 Boating Supplies.....	2,500	
Accounts Payable.....		2,500
<i>Purchased supplies on account.</i>		

4 Rent Expense.....	500	
Cash.....		500
<i>Paid for dock rent.</i>		

5 Prepaid Insurance.....	1,800	
Cash.....		1,800
<i>Paid for six month insurance policy.</i>		

10 Cash.....	2,000	
Tugboat Tour Revenue.....		2,000
<i>Recorded tour revenue.</i>		

Answer:

12	Accounts Receivable.....	3,500	
	Tugboat Tour Revenue		3,500
	<i>Recorded tour revenue provided on account.</i>		
19	Accounts Payable.....	2,500	
	Cash.....		2,500
	<i>Paid on account.</i>		
22	Cash.....	3,500	
	Accounts Receivable.....		3,500
	<i>Record collection on account.</i>		
25	Cash.....	2,750	
	Tugboat Tour Revenue		2,750
	<i>Recorded tour revenue.</i>		
31	Salary Expense.....	1,000	
	Cash.....		1,000
	<i>Paid assistant's salary.</i>		
31	G. Butler, Withdrawals.....	2,000	
	Cash.....		2,000
	<i>Record owner's withdrawals.</i>		

